COUNTRY RATING: 5/8

GDP: 160 606 MILLION CURRENT USD
POPULATION: 37. 370 MILLION
GDP PER CAPITA: 4297 CURRENT USD

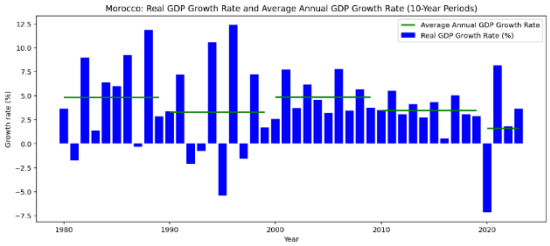
Tuyet-Han LE

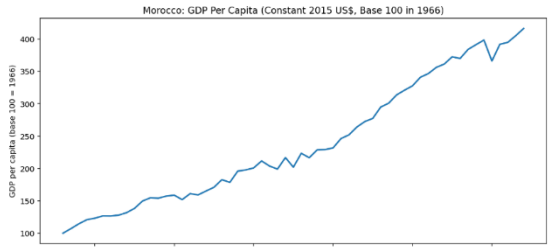
SUMMARY: Morocco's economy shows moderate long-term growth with high volatility, largely due to dependence on external demand and recurrent shocks. Growth remains extensive rather than transformative, with limited industrialization and a services-led model, while GDP per capita has risen but stays below global and regional averages. Public finances are gradually improving, with tax-based revenues around 28% of GDP, controlled spending, declining primary deficits, and high but under control public debt (~70% of GDP), supporting fiscal credibility. The external sector relies on financing to cover persistent current account deficits, with FDI and medium to long-term borrowing as main sources; foreign exchange reserves (5–9 months of imports) provide stable liquidity, though external debt (~48% of GDP) may rise moderately. Socio-politically, Morocco is a closed anocracy with moderate stability, facing structural vulnerabilities such as high youth unemployment, social inequalities, and climate exposure; however, the monarchy's legitimacy and state capacity help manage social tensions, with future stability depending on inclusive growth and stronger institutions.

STRENGTHS	WEAKNESSES
– Moderate but steady GDP growth with rapid rebounds after shocks. – Fiscal discipline with controlled deficits and manageable public debt. – Adequate foreign exchange reserves and stable external liquidity. – FDI inflows supporting industrial and manufacturing sectors. – Political system maintains legitimacy and capacity to manage social unrest. – Structural reforms and investment potential exist, especially in infrastructure and human capital.	– High volatility in economic growth. Limited industrialization and premature tertiarization, constraining long-term productivity. – Persistent current account deficits and reliance on external financing. – Inefficient investment, especially limited public investment in growth-enhancing sectors. – High youth unemployment and social inequalities increase socio-political vulnerability. – Vulnerability to climate shocks and external demand fluctuations.

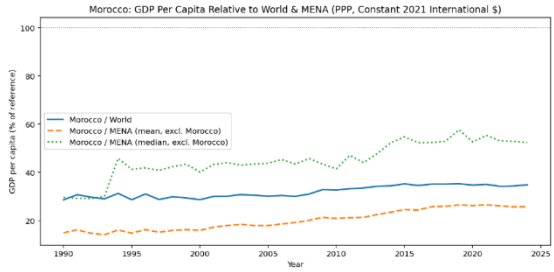
ECONOMIC GROWTH

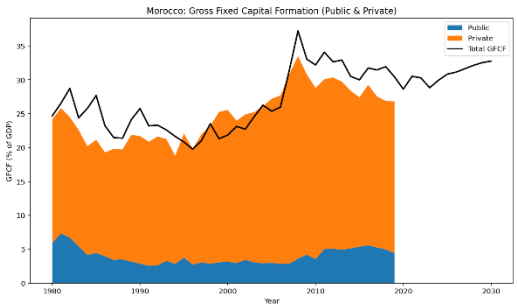
Morocco's long-term economic growth is characterized by moderate average growth combined with high volatility. Growth has followed a stop-and-go pattern, alternating between strong expansions and sharp slowdowns. The data reveal numerous and recurrent shocks. Periods of strong growth (e.g. +11.9% in 1988, +12.4% in 1996, +8.2% in 2021) contrast with severe contractions (−7.2% in 2020, −5.4% in 1995). These fluctuations are largely explained by Morocco's high dependence on agriculture, which is vulnerable to climatic and rainfall shocks, as well as exposure to external demand from Europe, energy price volatility, and global crises such as COVID-19. Most shocks have had temporary rather than permanent effects on growth, as shown by rapid rebounds following downturns. However, the accumulation of repeated shocks, including the severe contraction in 2020 and recurrent droughts in recent years−which have durably affected agricultural output−prevents sustained acceleration and keeps long-term growth at a moderate level. GDP figures may underestimate actual economic activity, as theinformal sector in Morocco accounts for around 30% of GDP (OECD, 2024) and a large share of employment.





Economic convergence refers to whether Morocco's per capita income has caught up with richer countries over time. From the long-term data, Morocco's GDP per capita (constant 2015 US$) has steadily increased from about 844 in 1966 to over 3,500 in 2024, showing clear growth. However, when compared to the world average and MENA peers, Morocco remains below richer countries: in 2024, GDP per capita in Morocco was 9,163 PPP$, only 35% of the world average and 26% of MENA mean but Morocco has gradually approached the median, showing some regional catch-up 52% of the MENA median. This indicates that long-term economic growth has been insufficient for rapid convergence. Volatility in growth, dependency on agriculture, and repeated shocks have limited catch-up with advanced economies.





Despite a consistently high investment rate, with total gross fixed capital formation (GFCF) fluctuating between 25–35% of GDP since the mid-2000s (peaking at 37.2% in 2008), Morocco's long-term growth has remained moderate. This suggests that the main constraint is not the volume of investment, but its efficiency. Investment is largely private-led, with private GFCF reaching 25–30% of GDP, while public investment remains limited and relatively stable, generally around 3–5% of GDP. This composition may restrict the accumulation of growth-enhancing public capital (infrastructure, human capital), limiting productivity

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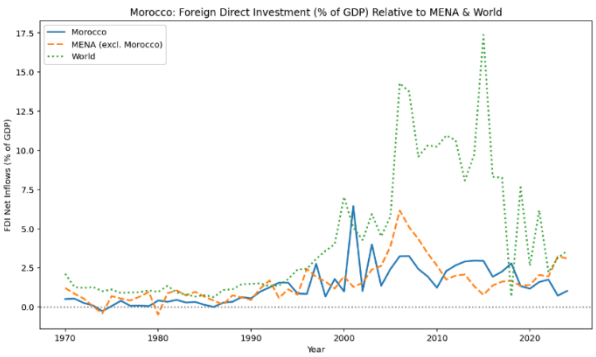
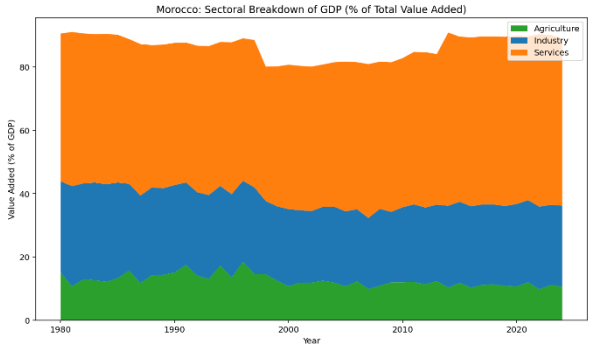




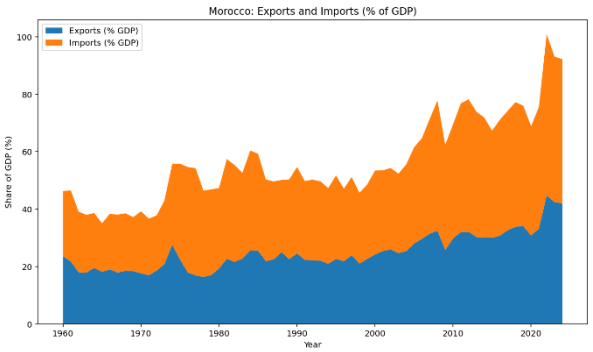
gains. As a result, high capital accumulation has not translated into a structural take-off, indicating that growth has been extensive rather than transformative.

Foreign direct investment (FDI) inflows in Morocco have been highly volatile over the long run, indicating an unstable external growth driver. FDI remained very low before the mid-1990s, generally below 1% of GDP, limiting its contribution to structural transformation. A temporary surge occurred in the late 1990s and early 2000s, with FDI peaking at 2.8% in 1997 and an exceptional spike of 6.4% in 2001, reflecting episodic privatizations and large investment projects rather than a sustained trend. Since 2010, FDI inflows have stabilized at moderate levels (around 1–3% of GDP) but have remained below world averages (often above 8–10% of GDP) and frequently below MENA inflows. This pattern suggests that FDI has contributed to capital accumulation but has not been strong or stable enough to drive structural change or a durable transformation of growth into long-term economic development.

The sectoral structure of Morocco shows limited structural transformation over the long run. Agriculture represents a low share of value added (around 10–12%, e.g. 9.8% in 2022), reflecting low productivity, traditional farming methods, and sensitivity to climatic shocks. Industry has stagnated, declining from around 31–32% in the early 1980s to about 25–26% in 2024, indicating weak industrial deepening and limited upgrading. In contrast, services have steadily expanded, from around 46–48% in the 1980s to over 52–54% after 2014 (e.g. 54.8% in 2014, 52.7% in 2024), suggesting premature tertiarization without a strong industrial base. Overall, Morocco's productive structure remains unfavourable, with limited agricultural contribution, insufficient industrialization, and a services-led model that increases vulnerability and constrains long-term growth.

Foreign trade plays a significant role in Morocco's economy but also reveals structural vulnerabilities. Exports have steadily increased, from 29–33% of GDP in the 2000s to over 41% in 2024, while imports remain high, around 40–50% of GDP, reflecting strong external dependence. In 2023, Morocco exported a total of $49.2B, making it the number 60 exporter in the world. Morocco's exports are concentrated in a few sectors, led by cars ($6.53B), fertilizers ($5.71B), and insulated wire ($5.31B) in 2023, showing limited diversification. Geographically, exports are heavily oriented towards Europe, with Spain ($9.81B), France ($8.12B), and Germany ($2.85B). In 2023, Morocco imported a total of $71.2B, making it the number 48 importer in the world. Imports are dominated by refined petroleum ($7.29B), motor vehicles and parts ($2.42B), and cars ($2.42B), sourced mainly from Spain ($12.2B), China ($7.44B), and France ($7.2B). Although Morocco exports cars, it simultaneously imports cars, reflecting both participation in global automotive value chains and the need to source vehicles or components not produced domestically.

Morocco's short and medium-term growth prospects remain moderately positive but are exposed to several internal and external risks. GDP growth is projected at +3.5% in 2025. Key growth drivers include industrial production, foreign investment in manufacturing, energy, and mining, as well as a rebound in agricultural output following the autumn 2024 rains. Tourism and domestic consumption are also expected to support growth. However, the economy is vulnerable to external shocks, including fluctuations in global energy and raw material prices, potential tightening of US monetary policy, and an economic slowdown in key European and Chinese markets, which are Morocco's main export destinations. Internal risks such as recurrent droughts, high youth unemployment, and potential diplomatic tensions with the EU could also dampen growth. Overall, while Morocco is expected to maintain moderate growth, its dependence on climate-sensitive agriculture and external demand creates uncertainty. Authorities and international organizations consider that sustained growth will require continued diversification, productivity improvements, and investment in resilient infrastructure.



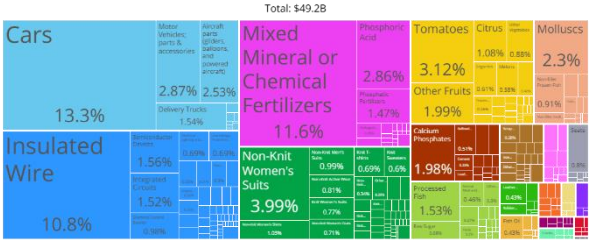


Figure: What does Morocco export? (2023). Source: OED (2024)

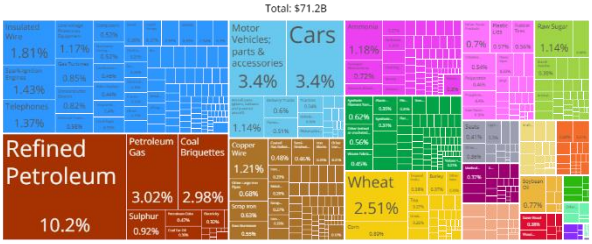
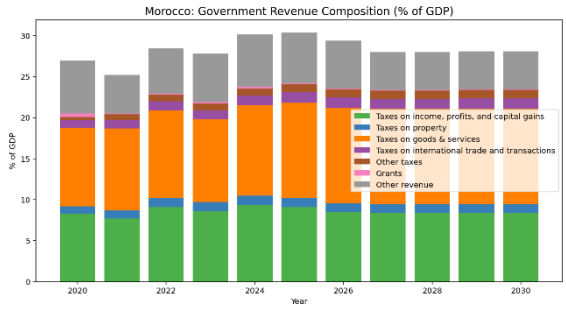


Figure: What does Morocco import? (2023). Source: OED (2024)

PUBLIC FINANCES

Morocco has no recent history of sovereign default and has consistently honored its debt obligations, maintaining strong relations with multilateral creditors such as the IMF and World Bank. The COVID-19 crisis (2020–2021) represents the most significant episode of fiscal stress over the past two decades, leading to a sharp widening of the fiscal deficit and an increase in public debt. Structural weaknesses, mainly exposure to external shocks and climate-related risks, can pressure public finances through lower revenues and higher social spending.



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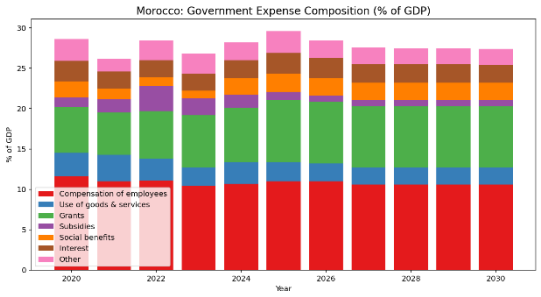
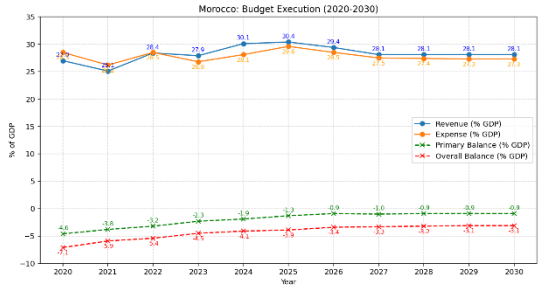
Budget execution:

Government revenues account for approximately 27.9% of GDP in 2023. Morocco relies mainly on tax revenues (21.8% of GDP in 2023) with a balanced mix of direct taxes (income, profits) and indirect taxes (VAT, trade). Non-tax revenues and grants are relatively small, showing moderate diversification. Tax revenue remains above 20% of GDP, meeting WAEMU benchmarks, which indicates a reasonable capacity to mobilize domestic resources without excessive reliance on volatile sources like tariffs.

Government expenditures amount to around 26.8% of GDP in 2023. Current spending dominates (nearly 80% of total spending), particularly compensation of employees, grants, and interest payments, while capital expenditure (investment) is modest but stable. Current transfers such as social benefits and subsidies are also significant. The structure suggests that a large share of spending is consumed rather than invested, which may limit growth impact, though interest and grants remain well controlled.

The primary deficit is decreasing over time (from –4.6% of GDP in 2020 to –0.9% in 2030), indicating improving fiscal discipline before interest payments. The overall balance remains negative but gradually improves (–7.1% in 2020 to –3.1% in 2030), suggesting that Morocco is slowly consolidating its fiscal position while managing debt service. Morocco has no significant arrears reported in recent years. This consistent execution supports fiscal credibility and indicates effective budget management.



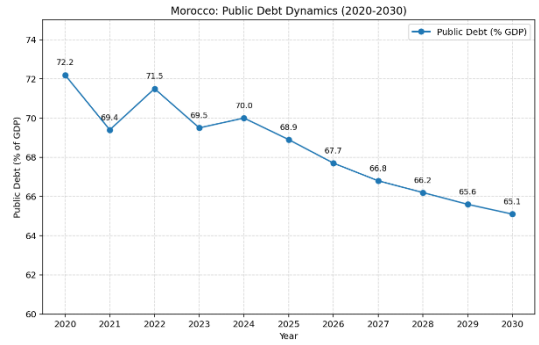


Public debt dynamics:

Morocco's public debt has gradually declined from 72.2 % of GDP in 2020 to 70.0 % in 2024 and is projected to further decline to 65.1 % by 2030, showing a gradual reduction in the debt burden and indicating a manageable level of sovereign debt relative to the country's repayment capacity.

The primary deficits are small and declining, which supports debt stabilization and indicates that the country is not relying excessively on new borrowing to cover interest payments.

Debt is primarily local currency, with a moderate share in foreign currency, reducing vulnerability to exchange rate shocks, though depreciation could mechanically increase the debt-to-GDP ratio.



The risk of a debt snowball effect remains limited. Over the medium term, nominal GDP growth (around 6–7%) exceeds the effective interest rate on public debt (approximately 3–4%), allowing for a gradual reduction in the debt-to-GDP ratio.

Overall, Morocco's debt profile is sustainable, with a moderate interest burden, decreasing debt ratio, and limited refinancing risk, assuming continued fiscal discipline and stable GDP growth.

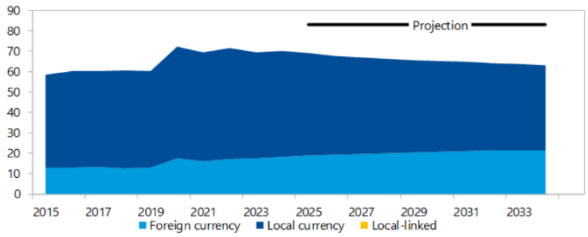


Figure: Public Debt Composition by Currency. Source: IMF (2025), IMF Country Report No. 25/87, p. 56.

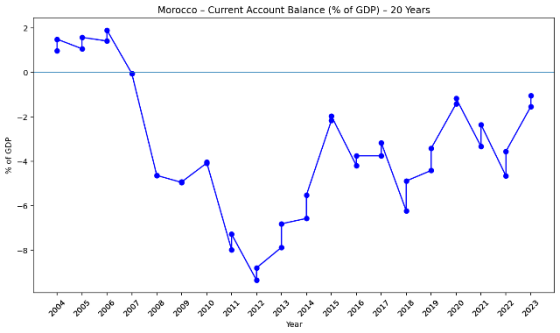
EXTERNAL SECTOR

1. External Financing Needs Analysis

External Financing Needs (EFN) for Morocco can be approximated as the sum of the current account deficit and external debt amortization. The figure highlights Morocco's current account balance over the past 20 years, indicating that the country structurally imports foreign savings to finance domestic investment and growth. After small surpluses in the mid-2000s, the current account deficit widened sharply following the global financial crisis, peaking at around –9% of GDP in 2012, mainly due to higher imports and adverse external shocks. Although the deficit narrowed after 2014 – supported by tourism receipts, remittances, and export diversification – it has remained negative.

As a result, Morocco's EFN mainly stems from the persistent current account deficit rather than from the weight of external indebtedness. According to the IMF Country Report No. 25/87, external debt has remained manageable and even declined from 50.2% of GDP in 2023 to 47.8% in 2024, partly reflecting repayments of IMF precautionary facilities. This suggests that external debt amortization does not constitute the main driver of EFN. Over the last ten years, the size of Morocco's EFN can be considered moderate to high, generally fluctuating between 1% and 6% of GDP. Moreover, the same IMF report indicates that Morocco's current account deficit is expected to persist in the medium term, widening gradually from –2.0% of GDP in 2025 to about –3.3% by 2030, suggesting that Morocco will continue to rely on external financing.

Morocco's EFN is covered by non-debt inflows and debt-creating flows. FDI is the main and stable source, supported by sectors like manufacturing, automotive, renewable energy, and tourism. Portfolio flows are limited and volatile, while grants are marginal. Public external borrowing is the main debt source; private debt remains contained, and total external debt is manageable. The structure,



Morocco: Financing Gap and Sources of Financing

(Billions of U.S. dollars, unless otherwise specified)

	2023	2024	2025	2026	2027
Current account balance	**-0.9**	**-2.3**	**-3.2**	**-4.0**	**-4.9**
(in percent of GDP)	*-0.6%*	*-1.4%*	*-2.0%*	*-2.2%*	*-2.6%*
Balance of goods and services	-12.0	-13.4	-15.0	-16.4	-17.9
Balance on primary income	-2.1	-2.7	-2.8	-2.9	-3.1
Balance on secondary income	13.2	13.8	14.5	15.4	16.1
Capital account, net	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Financial account, net (without RSF)	**1.7**	**3.2**	**5.2**	**6.4**	**7.2**
Financial account, net (with RSF)	*1.7*	*3.9*	*5.7*	*6.4*	*7.2*
Direct investment, net	0.3	1.1	2.2	2.6	2.9
Portfolio investment, net	2.4	-0.4	1.9	2.5	2.3
Other investment, net (without RSF)	-0.9	3.3	1.5	1.3	1.9
Errors and Omissions	1.3	0.0	0.0	0.0	0.0
Overall balance (1)	**2.0**	**0.9**	**1.9**	**2.4**	**2.2**
Change in gross official reserves (increase: -, without RSF) (2)	-2.0	-0.9	-1.9	-2.4	-2.2
Financing gap (1+2)	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
(in percent of GDP)	0.0%	0.0%	0.0%	0.0%	0.0%
RSF disbursement	0.0	0.7	0.5	0.0	0.0
Change in official reserves (increase: -, with RSF)	-2.0	-1.7	-2.4	-2.4	-2.2

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dominated by stable medium- to long-term inflows, reduces vulnerability, but the persistent current account deficit keeps Morocco reliant on external capital. No major external financing crisis has occurred in the past decade.

2. Liquidity Analysis

Indicator Name	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Total reserves in months of imports	6.257951	6.337852	6.025293	5.045056	5.584227	8.935414	6.771292	5.062121	5.634765	5.271238
Total reserves (% of total external debt)	50.97898	52.46812	50.99408	48.25979	47.78057	54.53375	54.2696	49.7358	52.17082	54.61355
Short-term debt (% of total reserves)	30.1863	35.55384	28.28597	30.4387	32.9213	22.63009	25.46724	30.79346	27.96712	20.20858

Morocco's foreign exchange reserves have remained relatively stable between 2015 and 2024, covering approximately 5–9 months of imports, consistently above the indicative threshold of 3 months. This indicates a strong capacity to meet import-related liquidity needs, although the downward trend from 8.93 months in 2020 to 5.27 months in 2024 suggests that reserves should be monitored in the coming years.

Regarding external debt, total reserves represented roughly 50–55% of total external debt, reflecting a moderate level of overall debt coverage. Short-term external debt as a percentage of total reserves decreased from 22.6% in 2020 to 20.2% in 2024, indicating that short-term liquidity risk is low and Morocco has sufficient reserves to meet immediate obligations.

While Morocco's external debt is largely denominated in foreign currencies (USD and EUR) and domestic revenues are mainly in Moroccan Dirham, the current level of foreign exchange reserves provides a buffer against exchange rate pressures. Given the managed peg regime of the dirham, insufficient currency liquidity would primarily translate into devaluation risk, which would mechanically increase the external debt-to-GDP ratio and raise the local currency cost of servicing foreign-currency debt. This liquidity position should therefore be assessed in conjunction with Morocco's external financing needs (EFN), which are mainly driven by persistent current account deficits rather than debt amortization. Although short-term risks remain limited thanks to adequate reserves and stable inflows such as FDI and public borrowing, a sustained deterioration in reserves or external financing conditions could increase external vulnerability.

Overall, Morocco's liquidity position is stable, with limited short-term risk, though continued monitoring of reserves, short-term debt trends, and EFN projections is advisable to ensure sustained external liquidity.

3. External Solvency Analysis

Indicator Name	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
External Debt (percent of GDP)	54.2	45.5	46.9	50.2	47.8	49.2	50	50.9	50.2	54	57.3

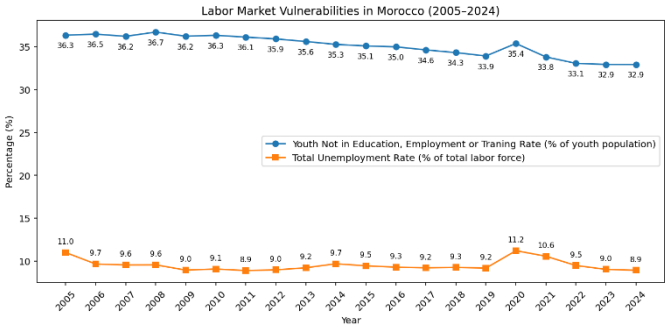
Morocco's external debt declined from 54.2 percent of GDP in 2020 to 47.8 percent in 2024, but is projected to increase gradually to about 57.3 percent of GDP by 2030 (IMF Country Report No. 25/87, 2025), suggesting rising medium-term external pressures. The current level remains well above the emerging market average benchmark of 15 percent of GDP. Historically, Morocco has not defaulted on its external debt, supporting its credibility with external creditors.

The majority of external debt is public, with multilateral institutions such as the World Bank and African Development Bank holding a significant share, alongside bilateral partners and international private investors. Private external debt remains limited, reducing systemic banking risk. Most debt is long-term, minimizing immediate refinancing pressure, though short-term obligations exist and require monitoring. Morocco is not eligible for the HIPC or MDRI initiatives, and IMF–World Bank debt sustainability assessments continue to classify its external debt as manageable under baseline scenarios.

Overall, Morocco's positive repayment history and predominantly long-term debt structure limit short-term refinancing risks. However, the projected increase in the external debt-to-GDP ratio and continued reliance on external inflows underline the importance of prudent debt management and sustained monitoring to preserve external solvency.

SOCIO-POLITICAL ENVIRONMENT

Morocco can be classified as an intermediate political regime (closed anocracy) with a Polity IV score of around –4 on a scale ranging from –10 (full autocracy) to +10 (full democracy), reflecting the persistence of strong executive power concentrated in the monarchy despite the existence of elections and political pluralism. From an income perspective, Morocco belongs to the lower-middle to lower range of upper-middle income countries, with GDP per capita estimated at around USD 4,153 and approximately USD 10,415 in PPP terms in 2024 according to World Bank data. This income level is associated with structural socio-political vulnerabilities, notably persistent social and territorial inequalities, limited effectiveness of social safety nets, and a significant mismatch between education and employment opportunities. The labor market remains a key source of fragility, with overall unemployment around 9% and youth unemployment exceeding 32% among youth populations. These vulnerabilities have already been activated by several internal and external triggers over the past three decades. Internally, Morocco experienced large-scale protest episodes during the 2011 Arab Spring and the 2016–2017 Hirak Rif movement, involving mass demonstrations, police repression and the imprisonment of protest leaders, though without leading to regime breakdown. Externally, recurrent droughts, global food and energy price shocks (notably in 2008 and post-2020), and the economic disruption caused by the COVID-19 crisis have repeatedly strained household purchasing power and public finances. These structural weaknesses increase the country's exposure to socio-political unrest when adverse shocks occur. Triggering factors include rising food and energy prices, climate-related shocks such as recurrent droughts affecting rural livelihoods, and growing perceptions of social injustice and corruption, which have recently crystallised in protest movements led by younger generations. However, several stabilising factors mitigate escalation risks. The Moroccan monarchy retains a relatively strong degree of political legitimacy, and the state possesses sufficient administrative and security capacities to manage social tensions through a combination of targeted social measures and containment strategies. As a result, while Morocco faces moderate but persistent socio-political risk, particularly in the event of economic or climatic shocks, the probability of large-scale destabilisation or regime breakdown remains low in the short term. Future stability will largely depend on the authorities' ability to foster more inclusive growth, reduce youth unemployment, and gradually strengthen institutional credibility and local governance.



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